ASSET MANAGEMENT POLICY

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Section A - Overview

1. Introduction

1.1. TAM Capital Asset Management Division (AMD) is responsible for managing assets and developing products to provide clients with integrated investment services that meet the client's specific needs, creating value and providing quality service.

2. Scope

2.1. The Policy covers the following activities for TAM Capital AMD:

- ✓ Conflict of Interest
- ✓ Investment Lifecycle;
- ✓ Portfolio Management;
- ✓ Broker Selection and Monitoring;
- ✓ External Portfolio Managers Selection and Monitoring;
- ✓ Counterparty Selection and Monitoring;
- ✓ Soft Dollars; and
- ✓ Voting Rights.

2.2. The Policy should be read in conjunction with the Asset Management Standard Operating Procedures (SOPs) for further guidance on how to execute these policies.

3. Roles and Responsibility

3.1. The Asset Management Department is responsible for:

- ✓ Providing fund / portfolio management services to all clients across a mixture of asset classes: money market, fixed income, equity, alternatives (Real Estate & Private equity) as well as multi asset;
- ✓ Conducting buy side research and providing recommendations to the investment managers;
- ✓ Selecting and monitoring external fund managers either for direct investments in third-party funds and DPMs or as sub-advisors of TAM Capital funds; and
- ✓ Offering Non-discretionary management services through NDIAs (Non-discretionary Investment management Agreements) which (i.e. giving clients an access to the best bank offers/ investments in a non-discretionary investment arrangement).

4. Manual Control and Distribution

4.1. The Direct Operational Risk Manager ("DORM") is the custodian of this Policy. The DORM is expected to facilitate any communication, updates or changes with regards to the Policy and its implementation between the owner (relative division) and the risk management division who ensures implementation of such Policy across the organization, oversees the Policy's cohesion with the SOPs and initiates the request for the periodic review and update of those policies by the relative divisions.

4.2. This Policy shall be made available to all AMD Employees in a non-editable version on TAM Capital's intranet/ shared drive. All Employees who are involved in Asset Management activities shall have a thorough understanding of this Policy. The Asset Management procedures (SOPs) shall be executed in accordance with this Policy.

4.3. All requests for revisions shall be addressed to the DORM. This Policy shall be reviewed annually or more frequently if required. Amendments shall be made, if any are required, after approval as per the relevant Authority Matrix, and superseded versions of the policies and procedures shall be retained for future reference.

4.4. Compliance to this Policy is mandatory and any exceptions shall be pre-approved by the Board.

Section B – Conflict of Interest

5. Regulatory Context

5.1. The provisions of the Capital Market Authority Regulations, including, but not limited to, the Capital Market Institutions Regulations and the Investment Funds Regulations, require the Capital Market Institution to protect investors from unfair and unsound practices and to maintain fairness and transparency while conducting their business.

5.2. TAM Capital Asset Management Department (AMD) shall maintain and operate effective organizational and administrative arrangements with a view to taking all reasonable steps to avoid, identify, and manage conflicts of interest. All employees shall also be responsible for reporting their personal conflicts or any other conflicts they are aware of. For reporting mechanisms and guidelines, refer to the TAM Capital Conflict of Interest Policy.

5.3. Any discrepancy between the firmwide conflict of interest policy and the below guidelines, the firmwide conflict of interest policy shall suffice.

6. Identification of Potential Conflicts of Interest

6.1. Where a wide range of financial services are provided by other departments within TAM Capital and TAM Capital AMD, conflicts of interest may arise in a variety of scenarios. Hereunder is a non-exhaustive list of examples of situations where a conflict of interest may arise in relation to investment services by TAM Capital:

- ✓ TAM Capital exercises voting rights on behalf of Clients;
- ✓ An TAM Capital Fund invests in another TAM Capital Fund;
- ✓ TAM Capital may wish to invest for its own account in securities in which Clients are also seeking to invest in;
- ✓ TAM Capital may recommend or offer products issued by it as part of its Investment Services;
- ✓ A unit within TAM Capital may be carrying out research or assessments of instruments while TAM Capital AMD is providing investment advice or recommendations for the same instruments;
- ✓ TAM Capital is the discretionary portfolio manager for more than one Client;
- ✓ TAM Capital links the Client's transaction to a counterparty; and
- ✓ TAM Capital may purchase a financial instrument for a Client and then sell it to one of its other Clients.
- ✓ TAM Capital AMD is the manager appointed by TAM Capital for its own account

7. Prevention and Management of Conflicts of Interest

7.1. The AMD shall adopt the following measures throughout its various business desks to manage conflicts of interests which shall be subject to regular monitoring and review and include, but are not limited to the following:

- ✓ **Information barriers:** AMD shall establish physical and electronic Information Barriers which are designed to prevent the exchange or misuse of material, non-public information obtained by various "insider" business units of TAM Capital AMD. Employees within an "insider" business unit shall be prohibited from inappropriately passing on sensitive information to those in an "outside" business unit who cannot access the information.
- ✓ **Separation of Function:** If a business with two functions within AMD would lead to conflicts of interest, the Head of AMD shall separate the functions into two separately managed businesses or ensure that they are managed by different senior members of staff.
- ✓ **Pay**: Pay and bonuses will often be linked to the profits of TAM Capital AMD or the business or department in which the member of staff works without resulting in a conflict of interest. In some cases, however, there would be a conflict, and such staff payments shall be avoided.
- ✓ **Gifts and Inducements**: AMD employees shall follow TAM Capital's firm-wide policy (as detailed in the Compliance Code and Firmwide Conflict of Interest Policy) with regards to gifts and inducements, which is based on protecting customers' best interests.
- ✓ **Personal Account Dealing and Outside Employment and Interests**: The AMD and any of its directors, managers or employees may face conflicts of interest when transacting in securities for their own accounts. To prevent conflicts arising from the use of information obtained from customers, and market abuse, all employees of the AMD shall be subject to a Personal Account Dealing Notice Policy. In addition, employees are required to disclose their outside employment and business activities to the Compliance Division. The AMD shall also make use of 'Stop Lists' to prohibit dealing in affected securities.
- ✓ **Declining to act:** Where it is established that a potential conflict of interest cannot be managed in any other way, the AMD shall decline to act for a customer and provide all justifications to the Compliance and Risk Management Division.
- ✓ **Disclosure:** Where the AMD considers that there are no other means of managing the conflict, or where the measures in place do not sufficiently mitigate the conflict, the conflict shall be disclosed to the relevant customer. To the extent required by the regulations, conflicts of interests related to Public Funds that has been approved by the relevant fund board regarding an investment shall be disclosed immediately on the TAM Capital website, TADAWUL website and in the public fund's annual reports.
- ✓ **Affiliated transactions**: To the extent permitted by law, one mutual fund of TAM Capital AMD can invest into other mutual fund offerings either within the same asset class or other asset classes. TAM Capital AMD also deals with its in-house security brokerage arm to execute the buy/ sell orders for its public equities business. The AMD shall disclose these activities in the detailed terms and conditions for its customers.
- ✓ **Allocation of trade orders and investment opportunities**: Potential conflicts of interest

arise with regard to the allocation of trade orders or investment opportunities. The AMD shall manage and execute trade orders appropriately. Details are provided in section 38.

- ✓ **Redemptions**: TAM Capital itself, or any business desk within the AMD, may have significant ownership as an investor in one or more of the funds/ accounts being managed by the AMD. The AMD may face various conflicts, both with other TAM Capital business units or TAM Capital funds, when redeeming such investments, AMD will follow the related T&Cs.

- ✓ **Third-Party Managers**: When AMD invest with Third-Party Managers, the Third-Party Managers may have interests and relationships that create actual or potential conflicts of interest related to their management of the assets on behalf of TAM Capital AMD. In such cases this would be addressed in the sub-manager's policy, where a conflict of interest statement is introduced.
- ✓ **Information Access**: As a result of AMD's various businesses, from time to time, the AMD may come into possession of information about certain markets and investments which, if known to the Investment Managers, could cause them to seek to dispose of, retain or increase interests in investments held by a public mutual fund or acquire certain positions on behalf of discretionary investment account. However, the AMD's internal information barriers restrict the Investment Managers' ability to access such information even when it would be relevant to their management of the Funds. If the Investment Managers acquire, or are deemed to acquire, "Material non-public information" regarding an issuer, they will be restricted from purchasing or selling securities of that issuer for their customers, until the information has been publicly disclosed or is no longer deemed material.
- ✓ **Proxy Voting:** Potential conflicts of interest can arise when the AMD votes as proxy for securities held by mutual fund or a managed account. The AMD exercises (or not exercises) voting rights in accordance with the approved Proxy Voting Policy to avoid such conflicts (Section I – Voting Rights).
- ✓ **Public Funds Board:** The AMD shall establish a Fund Board with not less than three Directors. The Board shall comprise of not less than two, or one third of the total number of directors, whichever is greater as Independent Fund Directors or such other number as are required by regulations. The responsibilities of the Board include approving material contracts, decisions and reports involving the public fund, approving a written policy in regard to the voting rights related to the public fund assets and approving or ratifying any conflicts of interest the Portfolio Managers have identified.
- ✓ **Market Conduct:** All TAM Capital Portfolio Managers shall fully comply with the CMA's Market Conduct Regulations. The regulations include (but are not limited to) the prohibition of front running, churning and "Insider Trading".

8. Establishment of Conflicts of Interest Register

The AMD shall establish a division-wide Conflict of Interests register to record any potential or actual conflicts of interests that the AMD comes across during the course of its day to day

operations and the measures taken in their regard. Senior management of TAM Capital and TAM Capital Compliance Division shall have full access to this register and shall monitor the register and resolve issues (if any) on a regular basis.

9. Appointment of TAM Capital AMD for managing TAM Capital own account

9.1. TAM Capital BOD may appoint TAM Capital AMD to manage its own account (Prop Book) on a discretionary basis and based on a pre-agreed IPS.

9.2. When TAM Capital AMD manage TAM Capital own account the following precautious shall take place:

I. Balance of Interest: TAM Capital will never unfairly place its interest above of its customers

II. Segregation: TAM Capital will maintain strong segregation of its own money and assets from client money and assets

III. Orders Execution: TAM Capital will execute its customers ‘orders in publicly traded securities before it executes its own orders

IV. Best Execution: When it is allowed by the regulations for TAM capital to deal principally with customers as principal (buying, selling from to a client or client’s portfolio), TAM Capital will execute the transaction for the client at a better price that it would have obtained if it executed in the relevant market.

V. Aggregation of Orders: TAM Capital shall never aggregate its orders with customers ‘orders on any traded Security

Section C – Regional Equities

10. Strategy

10.1. The HoAM in consultation with the Chief Executive Officer and the TAM Capital Board shall define and develop an Asset Management objectives for TAM Capital, which shall be aligned with the overall objectives of TAM Capital.

10.2. The Asset Management objectives once defined, shall be communicated to the relevant Department Heads. The Head of Regional Equities, Money Market and Fixed Income, Product Development and International and Multi-assets, based on the Asset Management objectives, shall develop a department related objectives for the investment of the relevant asset classes.

10.3. The relevant asset class objectives shall be communicated to the Product Development Team to ensure new products are aligned as per the mandate.

11. Research

The Head of Research shall appoint Analysts to cover all the available investible securities as per the mandate and strategy of the funds and DPMs. The Buy-side Research Team shall be responsible for conducting the research and proposing recommendations to be approved by HoAM during the regular asset allocation meetings.

12. Client Strategic Asset Allocation and Investment Policy Statement for DPM Clients

12.1. After understanding the client's objective, risk and time horizons, AMD shall document the selected investment strategy and broad allocation preferences of the DPM client.

12.2. The DPM client allocation shall be documented in the Investment Policy Statement (IPS) and the portfolio managers shall manage the DPM in line with the IPS guidelines and market conditions.

12.3. The IPS shall be reviewed on an as needed basis with the Client.

13. Portfolio Construction and Security Selection

13.1. The fund/ portfolio managers shall use the appropriate construction mechanisms in line with the client Investment objectives, risk level and investment policy ensuring client's best interest when deploying the cash and reallocating the assets depending on market conditions.

13.2. Security selection shall be an integral part of generating "excess returns" for the actively managed funds/ DPMs.

13.3. When constructing a passive strategy security selection is governed by the relative index.

13.4. For equity securities, the selection process shall be based on fundamental and non-fundamental factors. Fundamental factors may include industry attractiveness, earnings growth prospects, fundamental valuation and forthcoming catalysts and triggers.

14. Execution

14.1. The AMD shall take into account a range of factors in deciding how to execute trades as part of the investment management process, including, but not limited to:

- ✓ Price;
- ✓ Costs;
- ✓ Timing and speed of execution;
- ✓ Likelihood of, and capabilities in, execution, clearance and settlement;
- ✓ Size;
- ✓ Liquidity in or with a broker;
- ✓ Execution venue;
- ✓ Regulatory directives;
- ✓ Nature of the order; and
- ✓ Any other appropriate factors.

14.2. In determining the relative importance of the factors considered, AMD shall consider:

- ✓ The Investment strategy
- ✓ Market conditions
- ✓ The characteristics of the financial instruments to be traded, and
- ✓ The characteristics of the available brokers which can be used or to which the orders can be directed.

14.3. When executing for their clients, all fund/ portfolio managers shall be responsible for:

- ✓ Ensuring to follow the CMA's restrictions or guidelines as per the CMA's Investment Funds Regulations ("IFR") to avoid any breaches.
- ✓ Ensuring order being executed are not linked to market manipulation or insider trading.
- ✓ Executing clients'' orders for a security before executing any order on the same security for TAM Capital.
- ✓ Not performing "Front Running" trades.
- ✓ Ensuring to follow client's specific restrictions or guidelines as per the IPS, avoiding any breaches, which is subject to post-trade compliance policy
- ✓ Ensuring not to trade in specific securities during lock up periods where DPM clients' are board members or senior executives as per the IMA or any following notice
- ✓ Acting in the best interest of clients when trading securities for client's accounts.
- ✓ Continually seeking to obtain the best overall results for client when placing client's

trades.

- ✓ Portfolio managers to review executed client trades on a daily basis to help ensure that clients are receiving best execution.
- ✓ Abiding by the 'Conflict of Interest' Policy (Section B – Conflicts of Interest).
- ✓ Having regard to the number and frequency of funds'/ portfolios' trades in relation to the fund's T&C / client's investment objectives to avoid "Churning".
- ✓ With regards to DPM, not aggregating a Client's orders with those of other clients or with TAM Capital's orders if the order is for a security traded on the Saudi Stock Exchange.
- ✓ Not dealing on insider information or ahead of research (sell-side).

14.4. All fund/ portfolio managers shall:

- ✓ Place Client orders randomly for each trade whether a buy or a sell. Random sorting for each transaction is mandatory.
- ✓ In case the price is not specified by the customer, execute trades via broker based on Volume Weighted Average Price (VWAP) for the stock intended to execute that day.
- ✓ Execute trades based on specific instructions by Unit Head or the person delegated in his place.

14.5. Where block trades are required, the portfolio manager shall take as much discretion as possible to avoid impacting the trading prices. When executing a trade, the portfolio manager shall consider price as well as settlement conditions. If Market Conditions allowed, two or more identical quotes are received, the trade shall be executed by the counterparty with the shortest response time.

14.6. No principle dealing shall take place between non-money market funds (CMA Classification) and TC (proprietary book) or its affiliates.

14.7. If a security trade concerns a DPM and TC (proprietary book) or its affiliates, the portfolio manager shall obtain Client approval before executing the trade ensuring alignment with the client's IPS.

14.8. When a security is sold or bought between two funds, clearance shall be obtained from the funds' boards, Compliance and Risk Departments before executing the transaction to ensure compliance with relevant rules and regulations and to avoid any conflict of interests (please refer to the conflict of interest policy – section B). In case the trade involves multiple funds across different asset classes, approval from the relevant department Heads shall be required.

14.9. If a security trade concerns two DPMs, and the portfolio buying the security doesn't have an exposure to the security, the portfolio manager shall obtain Client approval before executing the trade ensuring alignment with the client's IPS.

14.10. If a security is sold or bought between a DPM and a fund clearance shall be obtained from the fund's board, the Compliance and Risk Departments as well as the client before executing the transaction to ensure compliance with relevant rules and regulations and to avoid any conflict of interests (please refer to the conflict of interest policy – section B).

14.11. TAM Capital AMD allows off-premises transactions when conducted in an IT-secured environment as per the Authority Matrix.

14.12. Head of Equities shall monitor the effectiveness of the fund/portfolio managers' execution

arrangements through the "Trade Blotter" at the end of each trading day. All fund/ portfolio managers shall keep records of their transactions and file them at the end of each execution day.

14.13. Trade errors are subject to the firmwide trade error policy

15. Exit/ Divestments

15.1. Although the mandate of the investment activities of TAM Capital is to hold its investments over a long term horizon, it shall be the responsibility of the fund/ portfolio managers to continuously monitor and consider exit routes for the investment. Investments are sold if market price reaches target price, deterioration occurs in the company's fundamentals, if better investment opportunities are available, change in investment strategy or objective and client requests.

15.2. Based on research, inputs and forecasting/ market timing skills of the fund/ portfolio manager themselves, the fund/ portfolio manager shall propose the exit scenario. The recommendation to liquidate the position in the fund or DPM shall be reviewed by the department Head and approved as per the Authority Matrix.

15.3. The fund/ portfolio manager shall consider exiting from the investment as per the guidelines and terms agreed in the fund agreement or client IPS. The fund/ portfolio managers may need to consider exiting from an investment or divesting from an investment if they are directed by the client's preferences and changes in clients circumstances and objectives.

16. Investment Monitoring

16.1. Fund/ portfolio monitoring shall be done on an ongoing basis by the fund/ portfolio manager. A fund/ portfolio manager's monitoring of market and economic conditions shall be broad and inclusive. Changes in asset risk attributes, market cycles, central bank policy, the yield curve and inflation are among the factors (but not limited to) that need to be monitored.

16.2. The fund/ portfolio manager shall determine if an investment continues to meet the mandate's planned goals on an on-going basis, specifically, the mandate's overall objectives in terms of return requirements, volatility and diversification. The review factors shall take into account the investment's growth potential and positioning in the overall market.

16.3. The fund/ portfolio manager shall monitor and review the performance of the account and the asset allocation on a regular basis.

16.4. The fund/portfolio manager with other stakeholders shall monitor the funds' investments to ensure compliance with the CMA's IFR restrictions or IPS guidelines to avoid any breaches. They shall as well immediately notify Compliance in case of any IFR or Terms and Conditions breaches.

16.5. The fund/portfolio manager shall immediately notify Compliance in case they became the owner of, or interested in, 5% or more of any class of voting shares or convertible debt instrument of an issuer listed on the Exchange; and if there is an increase or a decrease by 1% or more of the shares or convertible debt instrument of the issuer in accordance to the requirements in CMA's IFR.

17. Investment Review

17.1. The fund/ portfolio managers shall undertake detailed reviews on a periodic basis to ensure the fund/ portfolio is aligned to the fund mandate and IPS of the client. Based on the analysis and outcome of the reviews, the fund/ portfolio shall be appropriately rebalanced.

17.2. While considering rebalancing the fund/ portfolio, the fund/ portfolio manager shall evaluate the rebalancing benefits and costs to determine the appropriateness of rebalancing.

17.3. All recommendations of rebalancing the portfolios outside the approved internal limits shall be discussed in the asset allocation meeting to be approved by HoAM. These approvals can be secured through electronic means as well.

17.4. Senior leadership at the AMD and respective Unit Heads, shall on a periodic basis, review best execution reports, commission activity, counterparties, trading issues and industry best practice and devise an action plan for the external broker.

18. Fund/ Portfolio Performance Management

18.1. The performance of all funds shall be frequently monitored and assessed based on their relative terms & conditions by the Fund Board while assessing maximum value creation for the unit holder. The fund T&Cs shall specify the benchmark to be used to assess the performance of the fund.

18.2. All DPM accounts performance shall be reviewed against their respective IPS by the Fiduciary Committee. The performance shall be reported to the client through monthly or quarterly reports as per the legal agreement and regulation as well as on ad hoc basis depending on client's request.

19. External Broker Selection and Monitoring

19.1. While selecting external brokers, the AMD shall follow the guidelines listed in the firmwide outsourcing policy and ensure the best interests of the clients are met when selecting brokers who are sound, efficient and effective in executing trades and have the potential to add value to the investment decision process.

19.2. The AMD shall send a Due Diligence Questionnaire ("DDQ") to the identified brokers to solicit responses for evaluation. The DDQ shall only be sent to brokers who have multi-markets access and have a good market reputation. The specific qualitative criteria to add a broker to the Approved List, varies based on the asset class to be traded with or through the broker, but the overall approval process is applied in the same manner across all asset classes.

19.3. The DDQ shall include certain evaluation parameters and each parameter shall have a weight assigned to it. A competitive ranking criterion shall be used to evaluate the brokers against these parameters. Based on the results of the evaluation, a list of brokers shall be discussed and recommendations made during the asset allocation meeting and approved as per the Authority Matrix and as per the outsourcing policy.

19.4. The responsible desk in AMD shall monitor the performance of the external broker in line with the guidelines set in the firmwide outsourcing policy.

20. Selection of External Fund Manager

20.1. The external fund manager selection and monitoring process shall be in line with the general guidelines of outsourcing a service noted firmwide outsourcing policy and specifically shall be designed to identify managers/ investment funds that have the necessary elements to produce attractive risk-adjusted returns. The elements shall include a coherent investment philosophy and approach, an identifiable competitive advantage, personnel with appropriate experience, adequate back-office resources to support the investment process, tight risk controls, and adequate level of portfolio transparency that allows for portfolio risk assessment.

20.2. The research and selection process shall be based on the following:

- ✓ an Investment Due Diligence, contemplating qualitative assessments supported by quantitative analysis, and
- ✓ an Operational Due Diligence ("ODD").

20.3. All information shall be gathered via a DDQ.

20.4. Based on all the assessments carried out, the recommended fund managers are presented to the HoAM for approval.

21. Monitoring of External Fund Manager

21.1. Actively monitoring the recommended managers is crucial in ensuring adherence to the portfolio's overall objective and mandate's policies and restrictions. This shall be done through monthly data collection, quarterly monitoring, periodic calls and meetings and the monitoring of operational reviews.

21.2. In line with the firmwide outsourcing policy the portfolio management team who invested through the third party manager shall monitor performance of the external funds it invests in on a monthly and quarterly basis. Each month or quarter, the team shall receive performance reports that track, among other things, performance against appropriate benchmarks, allocations, portfolio overviews, organizational changes, performance contribution and attribution (by asset class, sector, geography etc.). The monitoring process shall be impacted by the frequency of the fund's NAV.

21.3. The monitoring process shall include the following:

- ✓ Monthly basis – receive performance data and basic portfolio data from external managers;
- ✓ Quarterly basis – conduct calls with the managers for a more in-depth review of the fund, portfolio, and strategy;
- ✓ Annual basis – receive the SAS70 (or equivalent) reports;
- ✓ Every 2-3 years (unless otherwise agreed) – perform an on-site visit to the manager to

update the ODD.

- ✓

20.4 The portfolio management team should terminate managers depending on the below criteria:

- ✓ Underperformance within time horizon,
- ✓ Significant Compliance breaches,
- ✓ Significant trade errors and operational issues,
- ✓ Deterioration in service levels,
- ✓ Weak execution arrangements,
- ✓ Breach of fiduciary duty etc.,
- ✓ Departure of key staff, and
- ✓ Regulatory fines

20.5 The portfolio management team should maintain a Manager Watch lists which include Managers with a less than expected performance trajectory.

21 Voting Rights

The Voting Committee shall exercise the voting rights based on the following key guiding principles:

- ✓ Support any action or policy that enhances value of Fund unitholder's investments,
- ✓ Support any action or policy that enhances and protects the Fund's unitholders,
- ✓ Support any action or policy that improves company's governance and financial structure,
- ✓ Support any action or policy that ties management compensation and reward to long term performance of the company and its securities,
- ✓ Support any action or policy that enhances and promotes Corporate Social Responsibility (CSR),
- ✓ Support any action or policy that increases or gives more power to the independent directors on the Board of the company, and
- ✓ On any other issues not identified above, the governing principle in voting shall be protecting the Fund's unitholders rights and privileges and enhancing long term value of Fund unitholders investment.

For sub-managed funds, the sub-fund manager shall exercise proxy voting as per their own policy and provide relevant reports to TAM Capital AMD.

Membership and Administration

Please refer to the Voting Policy.

Section D – Money Market & Fixed Income

22. Strategy

22.1. The HoAM in consultation with the Chief Executive Officer and the TAM Capital Board shall define and develop an Asset Management objectives for TAM Capital, which shall be aligned with the overall objectives of TAM Capital.

22.2. The Asset Management objectives once defined, shall be communicated to the relevant Department Heads. The Head of Regional Equities, Money Market and Fixed Income, Product Development and International and Multi-assets, based on the Asset Management objectives, shall develop a department related objectives for the investment of the relevant asset classes.

22.3. The relevant asset class objectives shall be communicated to the Product Development Team to ensure new products are aligned as per the mandate.

23. Research

23.1. For Money Market and Fixed Income instruments, the Portfolio Managers shall select the most efficient investment proposition from the available investment securities based on the fund objectives and guidelines and the applicable investment strategy. Such selection shall be discussed during the MM&FI asset allocation meeting and endorsed by the Head of MMFI prior to obtaining approval from HoAM. For purposes of independence the process of reviewing, approving and monitoring counterparty limits and managing counterparty limit models shall be the responsibility of Risk Management. Counterparty names and changes to the list of counterparties shall be approved by HoAM, Risk Management then reviews and approves the proposed counterparty. Monitoring of limits is the responsibility of Risk Management. Risk Management independently monitors counterparty limits, and any excess limits shall require approval as defined in Risk Management policies and approved authority matrix.

24. Client Strategic Asset Allocation and Investment Policy Statement for DPM Clients

24.1. After understanding the client's objective, risk and time horizons, AMD shall document the selected investment strategy and broad allocation preferences of the DPM client.

24.2. The DPM client allocation shall be documented in the Investment Policy Statement (IPS) and the portfolio managers shall manage the DPM in line with the IPS guidelines and market conditions.

24.3. The IPS shall be reviewed on an as needed basis with the Client.

25. Portfolio Construction and Security Selection

25.1. The fund/ portfolio managers shall use the appropriate construction mechanisms in line with the client Investment objectives, risk level and investment policy ensuring client's best interest when deploying the cash and reallocating the assets depending on market conditions.

25.2. Security selection shall be an integral part of generating "Alpha" for the actively managed funds/ DPMs.

25.3. When constructing a passive strategy security selection is governed by the relative index.

25.4. For fixed income securities, the selection process could include economic analysis, yield curve assessment, duration analysis, liquidity, issuer credit evaluation and spread analysis.

26. Execution

26.1. The AMD shall take into account a range of factors in deciding how to execute trades as part of the investment management process, including, but not limited to:

- ✓ Limits
- ✓ Rates
- ✓ prices;
- ✓ costs;
- ✓ timing and speed of execution;
- ✓ likelihood of, and capabilities in, execution, clearance and settlement;
- ✓ size;
- ✓ liquidity in or with the counterparty;
- ✓ Execution venue;
- ✓ Regulatory directives;
- ✓ nature of the order; and
- ✓ any other appropriate factors.

26.2. In determining the relative importance of the factors considered, AMD shall consider:

- ✓ the Investment strategy
- ✓ Market conditions
- ✓ The characteristics of the financial instruments to be traded, and
- ✓ the characteristics of the available brokers which can be used or to which the orders can be directed.

26.3. In determining the relative importance of the factors considered, AMD shall consider:

a) Ensuring to follow the CMA's restrictions or guidelines as per the CMA's Investment Funds Regulations ("IFR") to avoid any breaches.

b) Ensuring order being executed are not linked to market manipulation or insider trading.

c) Executing clients'' orders for a security before executing any order on the same security for TAM Capital.

d) Ensuring to follow client's specific restrictions or guidelines as per the IPS, avoiding any breaches, which is subject to post-trade compliance policy

e) Acting in the best interest of clients when trading securities for client's accounts.

f) Continually seeking to obtain the best overall results for client when placing client's trades.

g) Portfolio managers to review executed client trades on a daily basis to help ensure that clients are receiving best execution.

h) Abiding by the 'Conflict of Interest' Policy (Section B – Conflicts of Interest).

26.4. No principle dealing shall take place between non-money market funds (CMA Classification) and TC (Proprietary book) or its affiliates. Furthermore, principle dealing between money market funds (CMA Classification) and TC (Proprietary book) or its affiliates shall not exceed 25% of the fund's NAV.

26.5. When a security is sold or bought between two funds, clearance shall be obtained from the funds' boards, Compliance and Risk Departments before executing the transaction to ensure compliance with relevant rules and regulations and to avoid any conflict of interests (please refer to the conflict of interest policy – section B). In case the trade involves multiple funds across different asset classes, approval from the relevant department Heads shall be required.

26.6. If a security is sold or bought between a DPM and a fund clearance shall be obtained from the fund's board, the Compliance and Risk Departments as well as the client before executing the transaction to ensure compliance with relevant rules and regulations and to avoid any conflict of interests (please refer to the conflict of interest policy – section B).

Money Market

26.7. MMFI desk shall obtain the indicative rates every Monday from the approved counterparties. The GFI team shall obtain market quotes from minimum of three banks on a daily basis before making any trade.

26.8. Mutual fund and other client trade execution shall take priority over proprietary money market trade execution. The MMFI desk shall observe best execution requirements when conducting any money market trades or placements with TAM Capital affiliates and group entities and shall comply with fund's T&Cs, limits and restrictions.

26.9. Upon trade execution, a deal shall only be booked once a confirmation email has been received from the counterparty.

26.10. The MMFI desk shall create a daily blotter at the end of each trading day and send it to the HoAM.

Fixed Income

26.11. The MMFI desk shall obtain quotes from at least three counterparty as part of the price discovery process, to the extent possible. The Head of MMFI shall consider whether

multiple quotes should be obtained depending on the security type, the size of the transaction and the prevailing market conditions.

26.12. In liquid markets, the dealer shall use Bloomberg for each security as part of price discovery and trade execution process. Where block trades are required, dealers shall take as much discretion as possible to avoid impacting the trading prices. For illiquid securities, in case required number of quotes are not available, only one price quote from a broker shall be sufficient contingent to prior approval from the Head of MMFI.

26.13. Dealers shall avoid hitting short offers, to the extent possible, especially in thin or volatile markets as this increases settlement risk.

27. Exit/ Divestments

27.1. Although the mandate of the investment activities of TAM Capital is to hold its investments over a long term horizon, it shall be the responsibility of the fund/ portfolio managers to continuously monitor and consider exit routes for the investment. Investments are sold if market price reaches target price, deterioration occurs in the company's fundamentals, if better investment opportunities are available, change in investment strategy or objective and client requests.

27.2. Based on research, inputs and forecasting/ market timing skills of the fund/ portfolio manager themselves, the fund/ portfolio manager shall propose the exit scenario. The recommendation to liquidate the position in the fund or DPM shall be reviewed by the department Head and approved as per the Authority Matrix.

27.3. The fund/ portfolio manager shall consider exiting from the investment as per the guidelines and terms agreed in the fund agreement or client IPS. The fund/ portfolio managers may need to consider exiting from an investment or divesting from an investment if they are directed by the client's preferences and changes in clients circumstances and objectives.

28. Investment Monitoring

28.1. Fund/ portfolio monitoring shall be done on an ongoing basis by the fund/ portfolio manager. A fund/ portfolio manager's monitoring of market and economic conditions shall be broad and inclusive. Changes in asset risk attributes, market cycles, central bank policy, the yield curve and inflation are among the factors (but not limited to) that need to be monitored.

28.2. The fund/ portfolio manager shall determine if an investment continues to meet the mandate's planned goals on an on-going basis, specifically, the mandate's overall objectives in terms of return requirements, volatility and diversification. The review factors shall take into account the investment's growth potential and positioning in the overall market.

28.3. The fund/ portfolio manager shall monitor and review the performance of the account and the asset allocation on a regular basis.

28.4. The fund/portfolio manager with other stakeholders shall monitor the funds' investments to ensure compliance with the CMA's IFR restrictions or IPS guidelines to avoid any breaches. They shall as well immediately notify Compliance in case of any IFR or Terms and Conditions breaches.

28.5. The fund/portfolio manager shall immediately notify Compliance in case they became the owner of, or interested in, 5% or more of any class of voting shares or convertible debt instrument of an issuer listed on the Exchange; and if there is an increase or a decrease by 1% or more of the shares or convertible debt instrument of the issuer in accordance to the requirements in CMA's IFR.

29. Investment Review

29.1. The fund/ portfolio managers shall undertake detailed reviews on a periodic basis to ensure the fund/ portfolio is aligned to the fund mandate and IPS of the client. Based on the analysis and outcome of the reviews, the fund/ portfolio shall be appropriately rebalanced.

29.2. While considering rebalancing the fund/ portfolio, the fund/ portfolio manager shall evaluate the rebalancing benefits and costs to determine the appropriateness of rebalancing.

29.3. All recommendations of rebalancing the portfolios outside the approved internal limits shall be discussed in the asset allocation meeting to be approved by HoAM. These approvals can be secured through electronic means as well.

29.4. Senior leadership at the AMD and respective Unit Heads, shall on a periodic basis, review best execution reports, commission activity, counterparties, trading issues and industry best practice and devise an action plan for the external broker.

30. Fund / Portfolio Performance Management

30.1 The performance of all funds shall be frequently monitored and assessed based on their relative terms & conditions by the Fund Board while assessing maximum value creation for the unit holder. The fund T&Cs shall specify the benchmark to be used to assess the performance of the fund.

3.2. All DPM accounts performance shall be reviewed against their respective IPS by the Fiduciary Committee. The performance shall be reported to the client through monthly or quarterly reports as per the legal agreement and regulation as well as on ad hoc basis depending on client's request.

30.3 The responsible desk in AMD shall monitor the performance of the external broker in line with the guidelines set in the firmwide outsourcing policy.

31. Selection of External Fund Manager

31.1 The external fund manager selection and monitoring process shall be in line with the general guidelines of outsourcing a service noted firmwide outsourcing policy and specifically shall be designed to identify managers/ investment funds that have the necessary elements to produce attractive risk-adjusted returns. The elements shall include a coherent investment philosophy and approach, an identifiable competitive advantage, personnel with appropriate experience, adequate back-office resources to support the investment process, tight risk controls, and adequate level of portfolio transparency that allows for portfolio risk assessment.

31.2 The research and selection process shall be based on the following:

- ✓ an Investment Due Diligence, contemplating qualitative assessments supported by quantitative analysis, and
- ✓ an Operational Due Diligence ("ODD").

31.3 All information shall be gathered via a DDQ.

31.4 Based on all the assessments carried out, the recommended fund managers are presented to the HoAM for approval.

32. Monitoring of External Fund Manager

32.1 Actively monitoring the recommended managers is crucial in ensuring adherence to the portfolio's overall objective and mandate's policies and restrictions. This shall be done through monthly data collection, quarterly monitoring, periodic calls and meetings and the monitoring of operational reviews.

32.2 In line with the firmwide outsourcing policy the portfolio management team who invested through the third party manager shall monitor performance of the external funds it invests

in on a monthly and quarterly basis. Each month or quarter, the team shall receive performance reports that track, among other things, performance against appropriate benchmarks, allocations, portfolio overviews, organizational changes, performance contribution and attribution (by asset class, sector, geography etc.). The monitoring process shall be impacted by the frequency of the fund's NAV.

32.3 The monitoring process shall include the following:

- ✓ Monthly basis – receive performance data and basic portfolio data from external managers;
- ✓ Quarterly basis – conduct calls with the managers for a more in-depth review of the fund, portfolio, and strategy;
- ✓ Annual basis – receive the SAS70 (or equivalent) reports;
- ✓ Every 2-3 years (unless otherwise agreed) – perform an on-site visit to the manager to update the ODD.

32.4 The portfolio management team should terminate managers depending on the below criteria:

- ✓ Underperformance within time horizon
- ✓ Significant Compliance breaches,
- ✓ Significant trade errors and operational issues,
- ✓ Deterioration in service levels,
- ✓ Weak execution arrangements,
- ✓ Breach of fiduciary duty etc
- ✓ Departure of key staff
- ✓ Regulatory fines

32.5 The portfolio management team should maintain a Manager Watch lists which include Managers with a less than expected performance trajectory

33 Voting Rights

33.1 Principles

33.1.1 The Voting Committee shall exercise the voting rights based on the following key guiding principles:

I. Support any action or policy that enhances value of Fund unitholder's investments

II. Support any action or policy that enhances and protects the Fund's unitholders

III. Support any action or policy that improves company's governance and financial structure

IV. Support any action or policy that ties management compensation and reward to long term performance of the company and its securities

V. Support any action or policy that enhances and promotes Corporate Social Responsibility (CSR)

VI. Support any action or policy that increases or gives more power to the independent directors on the Board of the company, and

VII. On any other issues not identified above, the governing principle in voting shall be protecting the Fund's unitholders rights and privileges and enhancing long term value of Fund unitholders investment.

33.1.2 For sub-managed funds, the sub-fund manager shall exercise proxy voting as per their own policy and provide relevant reports to TAM Capital AMD.

33.2 Membership and Administration

Please refer to the Voting Policy.

Section E – International & Multi-asset

34. Strategy

34.1 The HoAM in consultation with the Chief Executive Officer and the TAM Capital Board shall define and develop an Asset Management objectives for TAM Capital, which shall be aligned with the overall objectives of TAM Capital.

34.2 The Asset Management objectives once defined, shall be communicated to the relevant Department Heads. The Head of Regional Equities, Money Market and Fixed Income, Product Development and International and Multi-assets, based on the Asset Management objectives, shall develop a department related objectives for the investment of the relevant asset classes.

34.3 The relevant asset class objectives shall be communicated to the Product Development Team to ensure new products are aligned as per the mandate.

35. Research

35.1 For IMA portfolios, the IMA Team shall prepare an assessment on asset classes and shall discuss the house view, during the IMA asset allocation meeting in order to finalize the stance on the global asset classes to be approved by the HoAM. The house view will be then applied to the portfolios by taking into consideration the specific guidelines and constraints. The IMA team shall conduct due diligence on investment opportunities in compliance with this policy and to be approved as per the Authority Matrix.

36. Client Strategic Asset Allocation and Investment Policy Statement for DPM Clients

36.1 After understanding the client's objective, risk and time horizons, AMD shall document the selected investment strategy and broad allocation preferences of the DPM client.

36.2 The DPM client allocation shall be documented in the Investment Policy Statement (IPS) and the portfolio managers shall manage the DPM in line with the IPS guidelines and market conditions.

36.3 The IPS shall be reviewed on an as needed basis with the Client.

37. Portfolio Construction and Security Selection

37.1 The fund/portfolio managers shall use the appropriate construction mechanisms in line with the client investment objectives, risk level and investment policy ensuring client's best interest when deploying the cash and reallocating the assets depending on market conditions.

37.2 Security selection shall be an integral part of generating "Alpha" for the actively managed funds/ DPMs.

37.3 When constructing a passive strategy security selection is governed by the relative index.

37.4 For IMA portfolios, the portfolio managers shall assess and evaluate the correlation among various asset classes, factors and styles while allocating. The process is top-down. The selection process could include identifying sub-asset classes' exposures, direct securities, third-party funds and products. Based on short-term expected relative performance among asset classes, the Portfolio Managers may consider making short-term adjustment to asset class weights within the approved ranges. The most convincing investment ideas shall be used to construct portfolios while also considering the strategies' broader investment guidelines.

37.5 When investing in direct fixed income securities IMA Team will seek, when applicable, a feedback from Buy-side research and Risk Department. Risk Department provides IMA Team on a quarterly basis with credit rating of the fixed income securities in the IMA portfolios

38. Execution

38.1 The AMD shall take into account a range of factors in deciding how to execute trades as part of the investment management process, including, but not limited to:

I. Price;
II. Costs;
III. Timing and speed of execution;
IV. Likelihood of, and capabilities in, execution, clearance and settlement;
V. Size;
VI. Liquidity in or with the counterparty;
VII. Execution venue;
VIII. Regulatory directives;
IX. Nature of the order; and
X. Any other appropriate factors.

38.2 In determining the relative importance of the factors considered, AMD shall consider:

I. The Investment strategy
II. Market conditions
III. The characteristics of the financial instruments to be traded, and
IV. The characteristics of the available brokers which can be used or to which the orders can be directed.

38.3 In determining the relative importance of the factors considered, AMD shall consider:

i) Ensuring to follow the CMA's restrictions or guidelines as per the CMA's Investment Funds Regulations ("IFR") to avoid any breaches.

j) Ensuring order being executed are not linked to market manipulation or insider trading.

k) Executing clients'' orders for a security before executing any order on the same security for TAM Capital.

l) Ensuring to follow client's specific restrictions or guidelines as per the IPS, avoiding any breaches, which is subject to post-trade compliance policy

m) Acting in the best interest of clients when trading securities for client's accounts.

n) Continually seeking to obtain the best overall results for client when placing client's trades.

o) Portfolio managers to review executed client trades on a daily basis to help ensure that clients are receiving best execution.

p) Abiding by the 'Conflict of Interest' Policy (Section B – Conflicts of Interest).

38.4 No principal dealing shall take place between non-money market funds (CMA Classification) and TC (Proprietary book) or its affiliates.

38.5 When a security is sold or bought between two funds, clearance shall be obtained from the funds' boards, Compliance and Risk Departments before executing the transaction to ensure compliance with relevant rules and regulations and to avoid any conflict of interests (please refer to the conflict of interest policy – section B). In case the trade involves multiple funds across different asset classes, approval from the relevant department Heads shall be required.

38.6 If a security is sold or bought between a DPM and a fund clearance shall be obtained from the fund's board, the Compliance and Risk Departments as well as the client before executing the transaction to ensure compliance with relevant rules and regulations and to avoid any conflict of interests (please refer to the conflict of interest policy – section B).

International & Multi-Assets

38.7 The IMA portfolio manager shall place Murabaha and deposit transactions after requesting at least three quotes from counterparties. The IMA portfolio manager shall liaise with MM&FI desk dealer for sourcing the quotes and subsequently provide the instruction to MM&FI dealer for execution.

38.8 The IMA portfolio manager shall trade Fixed Income securities after requesting at least three quotes from counterparties. In case a security is illiquid or three quotes are not available, the IMA portfolio manager shall obtain relevant Department Head's approval before executing the trade.

38.9 Investments in "ETFs" shall be executed either at:

- ✓ "NAV";
- ✓ Exchange closing;
- ✓ Limit price;
- ✓ Market price; or

38.10 The IMA portfolio manager shall provide securities trading instructions (order type) to the

broker based on security type, ticket size and prevailing market conditions. Order for markets operating in working hours different from TAM Capital working hours will be at VWAP unless differently instructed by the Head of Unit

38.11 The IMA portfolio manager shall keep record of their ETF transactions and provide the trading blotter to the Department Head.

38.12 Investments in funds shall be done at forward NAV based on the valuation frequency of the concerned fund.

38.13 Trade errors are subject to the firmwide trade error policy

39. Exit/ Divestments

39.1 Although the mandate of the investment activities of TAM Capital is to hold its investments over a long term horizon, it shall be the responsibility of the fund/ portfolio managers to continuously monitor and consider exit routes for the investment. Investments are sold if market price reaches target price, deterioration occurs in the company's fundamentals, if better investment opportunities are available, change in investment strategy or objective and client requests.

39.2 Based on research, inputs and forecasting/ market timing skills of the fund/ portfolio manager themselves, the fund/ portfolio manager shall propose the exit scenario. The recommendation to liquidate the position in the fund or DPM shall be reviewed by the Department Head and approved as per the Authority Matrix.

39.3 The fund/ portfolio manager shall consider exiting from the investment as per the guidelines and terms agreed in the fund agreement or client IPS. The fund/ portfolio managers may need to consider exiting from an investment or divesting from an investment if they are directed by the client's preferences and changes in client's circumstances and objectives.

40. Investment Monitoring

40.1 Fund/ portfolio monitoring shall be done on an ongoing basis by the fund/ portfolio manager. A fund/ portfolio manager's monitoring of market and economic conditions shall be broad and inclusive. Changes in asset risk attributes, market cycles, central bank policy, the yield curve and inflation are among the factors (but not limited to) that need to be monitored.

40.2 The fund/ portfolio manager shall determine if an investment continues to meet the mandate's planned goals on an on-going basis, specifically, the mandate's overall objectives in terms of return requirements, volatility and diversification. The review factors shall take into account the investment's growth potential and positioning in the overall market.

40.3 The fund/ portfolio manager shall monitor and review the performance of the account and the asset allocation on a regular basis.

40.4 The fund/portfolio manager with other stakeholders shall monitor the funds' investments to ensure compliance with the CMA's IFR restrictions or IPS guidelines to avoid any breaches. They shall as well immediately notify Compliance in case of any IFR or Terms and Conditions breaches.

40.5 The fund/portfolio manager shall immediately notify Compliance in case they became the owner of, or interested in, 5% or more of any class of voting shares or convertible debt instrument of an issuer listed on the Exchange; and if there is an increase or a decreas by 1% or more of the shares or convertible debt instrument of the issuer in accordance to the requirements in CMA's IFR.

41. Investment Review

41.1 The fund/ portfolio managers shall undertake detailed reviews on a periodic basis to ensure the fund/ portfolio is aligned to the fund mandate and IPS of the client. Based on the analysis and outcome of the reviews, the fund/ portfolio shall be appropriately rebalanced.

41.2 While considering rebalancing the fund/ portfolio, the fund/ portfolio manager shall evaluate the rebalancing benefits and costs to determine the appropriateness of rebalancing.

41.3 All recommendations of rebalancing the portfolios outside the approved internal limits shall be discussed in the IMA asset allocation meeting and to be approved by HoAM. These approvals can be secured through electronic means as well.

41.4 Senior leadership at the AMD and respective Department Heads, shall on a periodic basis, review best execution reports, commission activity, counterparties, trading issues and industry best practice and devise an action plan for the external broker.

42. Fund/ Portfolio Performance Management

42.1 The performance of all funds shall be frequently monitored and assessed based on their relative terms & conditions by the Fund Board while assessing maximum value creation for the unit holder. The fund Ts&Cs shall specify the benchmark to be used to assess the performance of the fund.

42.2 All DPM accounts performance shall be reviewed against their respective IPS by the Fiduciary Committee. The performance shall be reported to the client through monthly or quarterly reports as per the legal agreement and regulation as well as on ad hoc basis depending on client's request.

43. External Broker Selection and Monitoring

43.1 While selecting external brokers, the AMD shall follow the guidelines listed in the firmwide outsourcing policy and ensure the best interests of the clients are met when selecting brokers who are sound, efficient and effective in executing trades and have the potential to add value to the investment decision process.

43.2 The AMD shall send a Due Diligence Questionnaire ("DDQ") to the identified brokers to solicit responses for evaluation. The DDQ shall only be sent to brokers who have multi-markets access and have a good market reputation. The specific qualitative criteria to add a broker to the Approved List, varies based on the asset class to be traded with or through the broker, but the overall approval process is applied in the same manner across all asset classes.

43.3 The DDQ shall include certain evaluation parameters and each parameter shall have a weight assigned to it. A competitive ranking criterion shall be used to evaluate the brokers against these parameters. Based on the results of the evaluation, a list of brokers shall be discussed and recommendations made during the asset allocation meeting and approved as per the Authority Matrix and as per the outsourcing policy.

43.4 The responsible desk in AMD shall monitor the performance of the external broker in line with the guidelines set in the firmwide outsourcing policy.

44. Selection of External Manager and Originator

44.1 The external manager and originator selection process shall be in line with the firmwide outsourcing policy and specifically shall be designed to identify managers, originators and investment funds that have the necessary elements to produce attractive risk-adjusted returns. The elements shall include a coherent investment philosophy and approach, an identifiable competitive advantage, personnel with appropriate experience, adequate back-office resources to support the investment process, tight risk controls, and adequate level of portfolio transparency that allows for portfolio risk assessment.

44.2 External manager and originator's track record and AUM are considered initial quantitative filters to shortlist candidate. An external manager and originators must have a demonstrated track record, regardless of asset class, of no less than 5 years and an AUM, at firm level, of USD4bn for traditional asset classes (e.i. equity and fixed income) and of USD750mn for alternatives.

44.3 External Manager and originator must not be based in jurisdictions blacklisted for AML by FATF

44.4 For Shariah Compliant investments and when the criteria listed in 42.2 are not met, the IMA Team shall present to the IMA asset allocation meeting a DD proposal with initial considerations about the merits of the proposed external manager and originator (i.e. investment team cohesion where team members have worked together for at least 3 years and/or most senior members have at least 20 years of proven experience in the asset class) for HoAM approval to initiate the DD.

44.5 The search and selection process shall be based on the following:

I. an Investment Due Diligence, contemplating qualitative assessments supported by quantitative analysis, (IDD) and

II. an Operational and Risk Due Diligence ("O&RDD").

44.6 All information shall be gathered via a DDQ.

44.7 The IMA Team may appoint service providers to assist in the search and selection process

44.8 In the case of alternative investments, the IMA Team must outsource the O&RDD to a service provider with proven experience. No investment or appointment of an external manager and originator will be pursued in case of a negative O&RDD.

44.9 The IMA Team will submit a DD report including the third-party O&RDD with a recommendation to the IMA asset allocation meeting.

44.10 Risk Management will conduct an independent due diligence on the proposed external manager and originator and it will submit a DD report to the IMA asset allocation meeting

44.11 HoAM will approve, reject or approve with guidance the recommendation submitted by IMA Team

45. Monitoring of External Manager and Originator

45.1 In line with the firmwide outsourcing policy, actively monitoring the recommended manager and originator is crucial in ensuring adherence to the portfolio's overall objective and mandate's policies and restrictions. This shall be done through monthly data collection, quarterly monitoring, periodic calls and meetings to cover IDD and O&RDD.

45.2 IMA Team is responsible for the monitoring of the appointed external manager and originator. The monitoring process and data collection shall be impacted by the nature of the investment and the frequency of its valuation. IMA Team will submit the external manager and originator a quarterly questionnaire (except for passive investment where a lighter monitoring is acceptable)

45.3 The monitoring process shall include the following:

I. Monthly basis (when applicable) – receive performance data and basic portfolio data from external managers;

II. Quarterly basis – conduct calls with the managers for a more in-depth review of the fund, portfolio, and strategy;

III. Annual basis – receive the SAS70 (or equivalent) reports and financial statements;

IV. Every 2-3 years (unless otherwise agreed) – perform an on-site visit to the manager to update the O&RDD.

45.4 When applicable the IMA Team will maintain and update (at least semi-annually) a peer group analysis for the appointed external manager and originator

45.5 In case of alternative investments, the O&RDD monitoring must be outsourced to a service provider of proven experience. O&RDD conducted by the service provider for an appointed manager and originator must be updated every 2-3years.

45.6 In case of an external manager managing an TAM Capital fund, Risk Management to join IMA Team in the quarterly calls and to provide their considerations to be included in the IMA minutes.

45.7 Performance of every appointed external manager and originator will be monitored from the inception of the investment. In case of traditional asset classes if a manager fails to meet its mandate's objectives within any 4 consecutive quarters, or for 2 consecutive fiscal years, the IMA Team will place the manager in the "watch-list". In case of alternative investments, the IMA Team will recommend criteria for specific asset classes to be approved by the HoAM. Other factors that might lead to an external manager and originator being put in the watch list include:

I. Failing to discharge contractual obligation,

II. Providing incorrectly,

III. Failing to disclose material conflict of interests

IV. Regulatory issues

V. Significant public lawsuits

45.8 After an external manager and originator being place in the "watch-list", a warning letter

will be issued to the manager and originator. During this time IMA Team will work closely with the manager to address performance and/or identified issues.

45.9 In case of traditional asset classes, if the external manager and originator after being placed in the "watch-list" improves the performance *vis-à-vis* the mandate's objective for 4 consecutive quarters or for 2 consecutive fiscal years, IMA Team will submit a request of removing the manager and originator from the "watch-list" to the HoAM for approval. ". In case of alternative investments, the IMA Team will recommend criteria for specific asset classes to be approved by the HoAM.

45.10 The IMA team may consider submitting a request of termination for a manager to HoAM for approval depending on the below criteria:

VI. Underperformance within time horizon [traditional asset classes: 3 quarters of consistent underperformance after being included in the "watch-list"; alternative investments: as per criteria approved by HoAM]

VII. Significant Compliance breaches,

VIII. Significant trade errors and operational issues,

IX. Deterioration in service levels,

X. Weak execution arrangements,

XI. Breach of fiduciary duty etc

XII. Departure of key staff

XIII. Regulatory fines

46. Voting Rights

46.1 Principles

46.1.1 The Voting Committee shall exercise the voting rights based on the following key guiding principles:

I. Support any action or policy that enhances value of Fund unitholder's investments,

II. Support any action or policy that enhances and protects the Fund's unitholders,

III. Support any action or policy that improves company's governance and financial structure,

IV. Support any action or policy that ties management compensation and reward to long term performance of the company and its securities,

V. Support any action or policy that enhances and promotes Corporate Social Responsibility (CSR),

VI. Support any action or policy that increases or gives more power to the independent directors on the Board of the company, and

VII. On any other issues not identified above, the governing principle in voting shall be protecting the Fund's unitholders rights and privileges and enhancing long term value of Fund unitholders investment.

46.1.2 For sub-managed funds, the sub-fund manager shall exercise proxy voting as per their own policy and provide relevant reports to TAM Capital AMD.

46.2 Membership and Administration

Please refer to the Voting Policy.

Section F– Soft Dollars

47. General

47.1 The AMD recognizes that commissions and spreads generated by Client's accounts (either funds or DPMs) are property of the Client and that AMD shall have an ongoing fiduciary duty to ensure the quality of the transactions effected on behalf of the Client accounts including seeking to obtain best execution, minimizing transaction costs and using commission and spreads to benefit the Client accounts. The AMD shall always act for the benefit of its Clients and place Clients' interests before its own.

47.2 The AMD shall not allocate a Client's brokerage based on the amount of Client referrals they receive from a Broker.

48. Relationship with Clients

48.1 The AMD shall disclose to the Client that it may engage in Soft Dollar Arrangements prior to engaging in such arrangements involving that Client's account. The AMD shall seek DPM Clients consent before entering in Soft Dollar Arrangements with brokers or dealers.

48.2 The AMD shall provide the relevant disclosure in the terms and conditions, information memorandum and annual report with respect to a public fund when entering into a Soft Dollar Arrangement.

49. Selection of Brokers

49.1 In selecting "Brokers", the AMD shall consider the capabilities of the Broker to provide Best Execution. In evaluating the Broker's capability to provide Best Execution, the AMD shall consider the Broker's financial responsibility, the Broker's responsiveness to the AMD, the commission rate or spread involved, and the range of services offered by the Broker (Refer to Section 43).

50. Evaluation of Research

50.1 Services and products obtained with DPMs Client commissions and spreads shall not necessarily be utilized for the specific Client account that generated the commissions or spreads. The AMD shall not attempt to allocate the relative costs or benefits of the service and products among Client accounts because the AMD believes that, on the aggregate, the services and products it receives, benefit all the DPMs Client accounts and shall assist the AMD in fulfilling its overall duty to its Clients.

51. Client-directed Brokerage

51.1 In case of Client-Directed Brokerage Arrangements, the AMD shall not use commissions and spreads from another Client account to pay for a service or product purchased under the Client-Directed Brokerage Arrangement.

51.2 The AMD shall not direct commission or spread generated from Client accounts brokerage transactions to pay for Client referrals or distribution of the AMD funds or services.

51.3 The AMD shall disclose to the Client that committing to certain percentage of Brokerage may affect the ability to obtain Best Execution and obtain adequate research.

52. Disclosure

52.1 The AMD shall clearly disclose, with specificity and in 'plain language', its policies with respect to all Soft Dollar Arrangements, including:

- ✓ To Clients and Potential Clients - The AMD shall disclose whether it may use the research to benefit Clients other than those whose trades generated the Brokerage. This disclosure must address whether the trades generating the Brokerage involved transactions were conducted on a principal basis.
- ✓ To Clients – the AMD shall disclose (i) the types of research received through Proprietary or Third-Party Research Arrangements, (ii) the extent of use, and (iii) whether any affiliated Broker is involved.

52.2 Upon the Client's request, the AMD shall provide:

- ✓ A description of the product or service obtained through Brokerage generated from the Client's account.
- ✓ The aggregate dollar amount of Brokerage paid from all DPM accounts.

53. Record Keeping

53.1 The AMD shall maintain for 10 years , when applicable, all records that:

- ✓ are required by applicable law;
- ✓ document arrangements, oral or written, obligating the AMD to generate a specific amount of Brokerage;
- ✓ document arrangements with Clients pertaining to Soft Dollar or Client-Directed Brokerage Arrangements;
- ✓ document any agreements with Brokers pertaining to Soft Dollar Arrangements;
- ✓ document transactions with Brokers involving Soft Dollar Arrangements, including (i) a list of Proprietary or Third-Party Research providers and (ii) a description of the service or product obtained from the provider;

- ✓ indicate how the services and products obtained through Soft Dollar Arrangements directly assist the AMD in the investment decision making process; and
- ✓ Copies of all Client disclosures and authorizations

Section G – Real Estate

54. Introduction

54.1 TAM Capital's real estate team ("RET") is responsible for identifying, structuring, launching, and managing real estate investment products.

54.2 This policy shall be read in conjunction with the requirements mentioned in the compliance code and applicable laws and regulations.

54.3 This policy shall be read in conjunction with the Product Development Policy for launching a new real estate investment product.

55. Scope

55.1 This policy covers real estate investment products under TAM Capital's management.

55.2 This policy should be read in conjunction with the real estate standard operating procedures ("SOPs") for further guidance on how to execute these policies.

56. Roles and Responsibility

56.1 The RET shall be responsible for the following:

a) Launching real estate funds;

b) Real estate investment management;

c) Project management; and

d) Monitoring, reviewing and performance management.

57. Manual Control and Distribution

57.1 The head of asset management is the custodian of this policy. The head of asset management is expected to ensure that this policy is a true and accurate representation of the applicable policies and that it is kept up to date at all times.

57.2 This policy shall be made available to the employees in a non-editable version. All employees who are involved in real estate activities shall have a thorough understanding of this policy. TAM Capital's real estate standard operating procedures shall be executed in accordance with this policy.

57.3 All requests for revisions shall be addressed to the DORM. This policy shall be reviewed annually or more frequently if required. Amendments shall be made, if any are required, after approval as per TAM Capital's authority matrix, and superseded versions of the policies and

procedures shall be retained for future reference.

57.4 Compliance to this policy is mandatory and any exceptions shall be pre-approved by the product development committee ("PDC") or the head of product development and the head of compliance.

58. Real Estate Opportunity Identification and Selection

A) Identification

58.1 The RET shall source and screen investment opportunities in line with both organisational and departmental strategy.

58.2 The RET shall prepare and present a proposal to the PDC for a preliminary approval.

B) Selection

58.3 The RET shall initiate a due diligence exercise with respect to a specific real estate opportunity only after having received a go-ahead from the head of product development.

58.4 The RET shall ensure that the following is undertaken prior to seeking approval from relevant authorities:

e) Two property valuations by independent accredited valuators;

f) Feasibility study (if required); and

g) Due diligence.

58.5 The RET shall consolidate proposal, due diligence, and feasibility study into a finalized fund proposal for the review and approval of the PDC. A proposal's adoption shall be subject to the final approval of the PDC in light of the finalized fund proposal.

59. Developer Selection

59.1 The RET shall engage with developers which are in line with the criteria set forth in this policy unless exception is granted by the PDC under special circumstances.

59.2 The RET shall conduct a detailed due diligence on the developer and ensure that there is no conflict of interest raised.

59.3 The RET shall evaluate prospective developers by conducting necessary due diligence prior to selection on the basis of the following criteria:

59.3.1 Legal standing: To ensure that the developer is facing minimal to no litigation, as measured against the fund/project's tolerance in that respect;

59.3.2 Financial health: To understand whether the developer is in a good financial situation and is financially equipped and prepared for the undertaking at hand;

59.3.3 Sustainability of business: To ascertain that the developer has strong corporate governance principles in place and a sustainable business model; and

59.3.4 Operational capability and experience: To confirm that the developer has the necessary technical expertise, regional experience and sufficient manpower for the relevant project.

60. Property Manager Selection

60.1 The RET shall engage property managers who are qualified and have at least 3 years' relevant experience.

61. Evaluator Selection

61.1 The RET shall engage with independent evaluators which meet the requirements as prescribed by the CMA and Saudi Authority for Accredited Valuers ("TAQEEM").

62. Evaluation Report Acceptance

62.1 The RET shall ensure that the inputs of a minimum of two independent evaluators are obtained for all project valuations.

62.2 The RET shall ensure that the following is taken into consideration with regards to the valuation:

a) In the event of a discrepancy of up to 15% between the two valuations provided by the evaluators, the Mean of both valuations shall be taken to be the accepted value; and

b) In the event of a discrepancy of greater than 15% between the two valuations provided by the evaluators, an additional evaluator shall be engaged and the Mean of all three valuations shall be taken to be the accepted value.

63. Project Due Diligence

63.1 The RET shall ensure that proper due diligence checks are performed for each potential opportunity including, if applicable:

a) Financial due diligence;

b) Legal due diligence;

c) Insurance due diligence; and

d) Technical due diligence.

64. Fund Governance

64.1 The RET shall ensure that each fund, in line with applicable regulations, shall have a corresponding fund board that shall govern its progress towards its objectives by virtue of a fund board charter.

64.2 The fund board charter shall outline the following details of the fund board:

a) Purpose;

b) Composition and eligibility criteria;

c) Appointments;

d) Authorities;

e) Meetings and Quorums;

f) Key responsibilities;

g) Committees; and
h) Compliance.

64.3 In line with the fund board charter's rules on committees, a development committee shall be formed for a development project, consisting of representation from the following set of stakeholders:

a) Developer;
b) Engineering consultant; and
c) Fund manager.

64.4 The development committee shall have the responsibility of tracking and reporting on the progress of the fund, in addition to the following:

a) Review and approve project concept and design;
b) Review and approve project specifications and the bill of quantities and day-work schedule;
c) Approve appointment of third party;
d) Review and approve the project tender and contracts;
e) Review and approve project monitor reports and take necessary action or make a recommendation, if required;
f) Review and approve all contracts, purchase of building materials;
g) Review variance report every quarter and in case of variance more than 5%, refer the matter to the fund board for approval;
h) Attend to the urgent matters that are or could disrupt the progress of the project; and
i) Any other matter deemed important by the development committee.

65. Fund Launch

65.1 The RET shall obtain approvals from all applicable regulators.

65.2 The RET shall collaborate with the PDC and the marketing department in order to set up fund launch campaigns and events.

65.3 The RET shall collaborate with marketing department and other internal stakeholders in order to facilitate the development of marketing material for the new fund, which may consist of the following:

a) Brochures;
b) Advertisements;
c) Press launch (if required); and
d) Presentation pack.

65.4 Upon the successful launch of the fund, the RET shall archive relevant documents and begin fund management.

66. Project Management

66.1 The RET shall ensure that upon acquisition, all assets are accompanied by a detailed project plan, which would include relevant timelines and budget received from the developer.

66.2 The RET shall approve advance payment and/or investment requests received from developers only after having received approvals from relevant authorities, which may include the development committee or the fund board.

66.3 The RET shall monitor ongoing progress of the project by reviewing quarterly project updates and ensure that all payments are made based on agreed contractual timelines and actual progress made.

67. Archiving

67.1 The RET shall ensure that original title deeds and original agreements are archived.

67.2 The RET shall ensure that the files relating to accounting and tax are archived.

68. Monitoring, Review, Reporting and Performance Management

68.1 The RET shall determine whether an investment continues to meet the planned goals on an on-going basis, specifically, the overall objectives in terms of return requirements.

68.2 The RET shall undertake detailed reviews on a periodic basis to ensure the fund/portfolio is aligned to the fund mandate.

68.3 The performance of all real estate funds shall be frequently monitored and assessed based on their relative terms & conditions.

68.4 The RET shall ensure that the fund is reviewed at set periodic intervals to assess various parameters such as, but not limited to, the following:

a) Actual development progress versus initial planning
b) Actual sales versus projections;
c) Unexpected challenges;
d) Change in risk; and
e) Movement in profit margin, in case of a loan.

68.5 The RET shall share periodic reports with regards to product performance with the executive management, fund board and PDC upon request.

68.6 The RET shall share periodic reports to clients as per the relevant CMA requirements and shall publish them within the prescribed regulatory deadlines through the prescribed channels.

68.7 RET shall prepare templates for fund reporting, ensuring the following inputs are used at a minimum:

a) Valuation reports

b) Project update reports
c) NAV calculations
d) Financial statements
e) Any other relevant CMA requirements

69. Termination of Product

69.1 The RET may terminate the product for any of the following reasons:

a) Expiration of the product's term;
b) Accomplishment of its purpose, in accordance with terms and conditions;
c) Product no longer feasible; and
d) Request by investors.

In event of expiration of the original term including any discretionary extensions available to the fund manager, the decision to liquidate or extend shall follow the CMA's prescribed procedure that includes obtaining unitholders' decision around the matter.

Appendices

Appendix 1: Definitions

"Alpha" means the active return on an investment, gauges the performance of an investment against a market index or benchmark which is considered to represent the market's movement as a whole. The excess return of an investment relative to the return of a benchmark index is the investment's alpha.

"Asset allocation" means an investment strategy that aims to balance risk and reward by apportioning a portfolio's assets according to a fund/ individual's goals, risk tolerance and investment horizon.

"Brokers" means an individual or firm that charges a fee or commission for executing buy and sell orders submitted by an investor/ firm/ asset manager.

"Calendar Rebalancing Strategy" means a strategy that involves analysing the investment holdings within the portfolio at predetermined time intervals and adjusting to the original allocation at a desired frequency.

"Churning" means the practice of conducting excessive trading in a customer's account by a broker mainly to generate commissions.

"Conflict of Interest" means a situation in which a person is in a position to derive personal benefit from actions or decisions made in their official capacity.

"ETFs" means a marketable security that tracks an index, a commodity, bonds, or a basket of assets like an index fund. Unlike mutual funds, an ETF trades like a common stock on a stock exchange.

"Excess return" means return earned by a stock (or portfolio of stocks) minus the return for a benchmark index over the same period of time.

"Front running" also known as forward trading means the practice of acting on a trade or dealing on advance non-public information before customers have been given the information.

"Information ratio" refers to the risk-adjusted return of a financial security (or asset or portfolio) which measures the active return of the manager's portfolio divided by the amount of risk that the manager takes relative to the benchmark.

"Insider trading" means the illegal practice of trading on the stock exchange to one's own advantage through having access to confidential information.

"Material non-public information" means information that would affect the market value or trading of a security and has not been disseminated to the general public.

"NAV" means value per unit/share of a mutual fund or an exchange-traded fund (ETF) on a specific date or time.

"Percentage of Portfolio Rebalancing Strategy" means a strategy that involves a rebalancing schedule focused on the allowable percentage composition of an asset in a portfolio where every asset class, or individual security, is given a target weight and a corresponding tolerance range.

"Sharpe ratio" means the average return earned in excess of the risk-free rate per unit of volatility or total risk.

"Sortio ratio" means a ratio, which is a slight variation of the Sharpe ratio, that differentiates harmful volatility from total overall volatility by using the asset's standard deviation of negative asset returns, called downside deviation.

"Trade blotter" means a record of each trade that transacted for a given period of time, normally one day.

"DORM" means an employee of a division that has been nominated by the Head of the Division as the representative for Risk Management matters.
"PDC" comprises of a board of TAM Capital members who would be responsible on key decisions in the Product Lifecycle
"Mean" refers to the arithmetic mean, also known as average

Appendix 2: Abbreviations

Terms	Definition
AMD	Asset Management Department
CEO	Chief Executive Officer
CMA	Capital Market Authority
DDQ	Due Diligence Questionnaire
DPM	Discretionary Portfolio Management
ETF	Exchange Traded Funds
GFI	Global Fixed Income
HoAM	Head of Asset Management
IMA	International and Multi Assets
IPO	Initial Public Offering
IPS	Investment Policy Statement
MMFI	Money Market and Fixed Income
NAV	Net Asset Value
ODD	Operational Due Diligence
VWAP	Volume Weighted Average Price
KSA	Kingdom of Saudi Arabia
PDC	Product Development Committee
RET	Real Estate Team
TC	Tam Capital

Appendix 3: Real Estate Developer Selection Criteria

For the reference of the end-user of this policy, below is an example (otherwise subject to the specificities of the fund/project) of the items to examine under each criterion in order to select developers for relevant projects:

1. Legal Standing
    - Appropriate registration and documentation
    - Acceptable levels of ongoing and provisioned litigation
    - Appropriate levels of provision for litigation
2. Sustainability of Business
    - Strong governance and oversight
    - Competitive procurement and contracting procedures
    - Lessons and experience tracking
    - Detailed documentation and reporting
3. Financial Health
    - Audited financial statements reflecting a financial standing suitable to the project at hand
    - A representation of the developer's strategic risk appetite
    - Appropriate insurance policies for the project at hand
4. Operational Capabilities and Experience
    - Sufficient manpower requirements
    - Exceptional skill, subject matter knowledge, and experience on both the organizational and operational levels with respect to relevant projects.